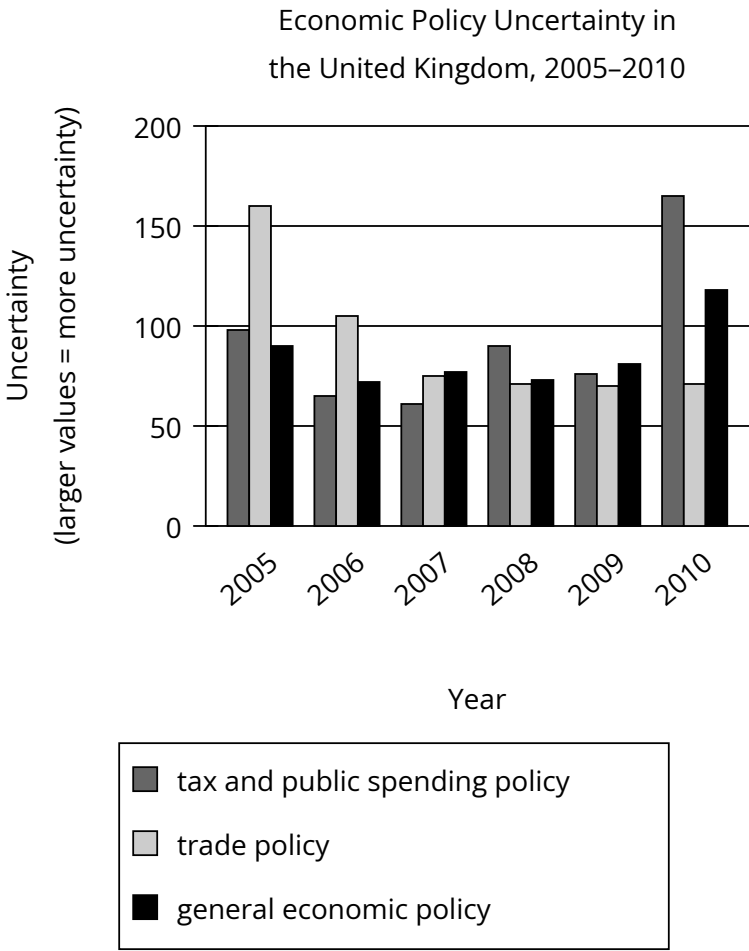


Assessment	Test	Domain	Skill	Difficulty
SAT	Reading and Writing	Information and Ideas	Command of Evidence	Hard

Question



High levels of public uncertainty about which economic policies a country will adopt can make planning difficult for businesses, but measures of such uncertainty have not tended to be very detailed. Recently, however, economist Sandile Hlatshwayo analyzed trends in news reports to derive measures not only for general economic policy uncertainty but also for uncertainty related to specific areas of economic policy, like tax or trade policy. One revelation of her work is that a general measure may not fully reflect uncertainty about specific areas of policy, as in the case of the United Kingdom, where general economic policy uncertainty _____

Which choice most effectively uses data from the graph to illustrate the claim?

Answer

- A. aligned closely with uncertainty about tax and public spending policy in 2005 but differed from uncertainty about tax and public spending policy by a large amount in 2009.
- B. was substantially lower than uncertainty about tax and public spending policy each year from 2005 to 2010.
- C. reached its highest level between 2005 and 2010 in the same year that uncertainty about trade policy and tax and public spending policy reached their lowest levels.
- D. was substantially lower than uncertainty about trade policy in 2005 and substantially higher than uncertainty about trade policy in 2010.

Correct Answer: D

Rationale

Choice D is the best answer because it uses data from the graph to effectively illustrate the text's claim about general economic policy uncertainty in the United Kingdom. The graph presents values for economic policy uncertainty in tax and public spending policy, trade policy, and general economic policy in the UK from 2005 to 2010. The graph shows that in 2005, the value for general economic policy uncertainty (approximately 90) was substantially lower than the value for uncertainty about trade policy specifically (approximately 160). It also shows that in 2010, the value for general economic policy uncertainty (approximately 120) was substantially higher than the value for uncertainty about trade policy (approximately 70). The substantial differences between these values in 2005 and 2010 support the claim that a general measure may not fully reflect uncertainty about specific areas of policy.

Choice A is incorrect because the graph shows that the level of general economic policy uncertainty was similar to the level of uncertainty about tax and public spending policy in both 2005 (with values of approximately 90 and 100, respectively) and 2009 (with values of approximately 80 and 75, respectively). Choice B is incorrect because the graph shows that general economic policy uncertainty was higher than uncertainty about tax and public spending policy in 2006, 2007, and 2009, not that it was lower each year from 2005 to 2010. Choice C is incorrect because the graph shows that general economic policy uncertainty reached its highest level in 2010, which was when uncertainty about tax and public spending policy also reached its highest level, not its lowest level.